

MTN pitch deck

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PITCH — MTN — VERDICT

ADJUDICATED 2026-08-18 — KILL — Reject at \$146.60; no position, no order, size zero: the reason is capital allocation, not the bad winter.

What we believe

Vail Resorts owns a genuinely scarce collection of ski mountains and runs a subscription pass that gets a large share of the season's revenue in the bank before the first snowflake falls. That is a good business. Our problem is not the business — it is what management is doing with the cash and the fact that we cannot produce a single number about next year that differs from what everyone else already assumes.

Three things drive the reject:

- 1. The company is paying out far more than it earns in cash, and borrowing the difference.** Over the last twelve months Vail generated about \$175M of free cash flow and handed shareholders about \$569M — \$318M of dividends plus \$251M of buybacks. That is 324% of free cash flow. In the same twelve months, debt net of cash rose from \$2,224M to \$2,635M — up \$411M, or 18.5% — helped by an \$850M note issue against \$447M repaid. A 6% dividend yield that is funded by borrowing is not income; it is the balance sheet being converted into a payout, on an asset whose earnings depend on the weather.
- 2. We have no differentiated view of next year.** Analysts have already cut this fiscal year's earnings by roughly 42% to \$4.33 a share, which sits inside the company's own guided range of \$3.59–\$4.55. The average price target is \$147.23 against a \$146.60 price — four tenths of one percent. We looked hard for a number we could disagree with and did not find one. Being right alongside everybody else is not an edge; it is a fair price.
- 3. The price is not cheap enough to make up for the first two.** On our corrected math the enterprise value is about \$8.25B (35.8M diluted shares at \$146.60 = \$5.25B, plus \$2.635B net debt, plus the \$364.4M Whistler Blackcomb minority stake). Against the low end of guided resort profit of \$735M that is 11.2x — on what everyone agrees is a trough year. On a normal-snow \$850M it is 9.7x. Neither is a distressed price for an operator this leveraged.

What we do **not** believe: that the bad winter is the story. Our own red bench argued that hardest and our blue bench took it apart. The customer money already committed for next season is essentially flat (deferred revenue \$562.1M at 4/30/26 vs \$569.8M a year earlier, –1.4%), and next year's consensus earnings are already *below* two years ago rather than assuming a heroic bounce. The snow matters at the margin, one cycle later. It is not the reason to pass.

What the market believes

The market believes this is a fairly valued, high-yield, weather-hit franchise on its way back to normal. Specifically:

- Earnings this year collapse to roughly the company's guidance and then partially recover. Next year's third-quarter estimate is \$10.10 a share, against \$8.81 actually reported this year — but against \$10.46 two years ago and \$9.54 three years ago. So the market is pricing a partial return toward the old level, not a boom.
- Revenue this year around \$2.84B, down 4.3%.
- The dividend holds. The 6.06% yield (\$8.88/yr against \$146.60) is being treated as real.
- The stock has already been marked down: it is 11.4% below its 52-week high but 23.7% above its 52-week low, and roughly flat over a year. Nobody is panicking and nobody is excited.

There is also a large short position — 16.38% of shares outstanding, 5.84M shares, about 7.9 days of average volume to cover — which says a meaningful minority believes the payout is unfundable.

Why we might have edge

Three places a real edge could exist. We could not close any of them this round, which is itself the answer.

- **The payout arithmetic is not what the yield screen shows.** Anyone ranking stocks by dividend yield sees 6.06% and stops. The full picture — 324% of free cash flow returned, net debt up 18.5%, buybacks funded by a bond issue during the worst season in memory — takes reading the cash flow statement and the balance sheet a year apart. Yield-oriented buyers are the marginal holder here and they are, in our view, mispricing the durability of the payment.
- **The pass sells the next year during the current one.** Season passes for 2026/27 were sold through the spring of 2026 — while customers were experiencing a record-poor winter. Units sold fell 10%, days 8%, dollars 5%. Because dollars fell less than units, realised price per pass rose about 5.6%: the company raised price and lost the low-frequency end of the customer base. So the pass does not insulate against weather; it delays the effect by a year, into next season's on-mountain spending. That mechanism is not, as far as we can tell, in anyone's published model.
- **Nobody has put a price on the mountains.** Vail's Colorado and Utah core operates on U.S. Forest Service special-use permits (8,376 acres at Keystone, 3,801 at Beaver Creek, 8,900 leased at Park City) — an irreplaceable footprint that has never been marked against a private transaction at this \$8.25B enterprise value. If a real comparable sale existed and it implied a floor above the current price, that would be a number the market does not have.

The honest weight: the first two argue *against* owning it, and the third is unbuilt. An edge that only tells you to stay away, plus an unfinished asset valuation, is not a position.

Why it might be priced in

- **The earnings cut is fully in the numbers.** Consensus is inside the company's own guidance. There is no unrecognised collapse to trade.
- **The recovery is modest, not aggressive.** Our red bench called next year's estimate a "+14.6% snapback" and treated that as an unrealistic assumption embedded in the price. Blue showed that was an artifact of measuring from the bottom: \$10.10 next year is *below* the \$10.46 printed two years ago. The market is not assuming much.
- **The customer commitment did not actually shrink.** Money already collected for next season is down only 1.4% year over year. The scary -10% unit number is a partial read (the selling season runs into early December) and is far larger than the balance sheet effect.
- **The dividend risk is visible to everyone.** A 16% short interest is the market telling you the payout question is already asked. And a cut, if it comes, could be *good* for the stock — it would

free roughly \$155M a year for debt paydown.

- **The valuation is not an outlier.** 11.2x trough profit / 9.7x normal profit is an ordinary multiple for an ordinary situation.
- **The price action offers nothing.** Down 11% from the high, up 24% from the low, flat on the year. There is no dislocation to lean on.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The market has not yet marked down this year's earnings	Consensus (13 analysts) vs company guidance in the Q3 press release (sec.gov)	Consensus \$4.33 sits inside guided \$3.59–\$4.55; price target \$147.23 vs price \$146.60 (+0.4%)	No — our premise was wrong. The market is already there
The pass protects earnings from a bad winter	Company 8-K of 4/23/26 (sec.gov)	“Record low snowfall and historically warm temperatures”; visits –14.9%, Rockies –25%; resort profit guided to the low end. Then 2026/27 passes: units –10%, days –8%, dollars –5%	Yes — the pass delays the hit, it does not prevent it
That delay is big enough to be the thesis	Balance sheet, 10-Q 4/30/26 vs 4/30/25 (sec.gov)	Customer money committed for next season \$562.1M vs \$569.8M — down 1.4%, roughly one-fifth of what the headline implies	No — our own red bench overstated it. Blue reduced it from fatal to a data point
Next year's consensus embeds an unrealistic recovery	Compared next-year Q3 estimate to <i>three</i> prior years, not one	\$10.10 estimate vs \$8.81 this year — but \$10.46 two years ago and \$9.54 three years ago. It is a partial recovery, below the old peak	No — red bench error. Red quoted “+14.6%” without the earlier comparator. Overturned
Shareholder returns are covered by cash generation	Twelve-month cash flow statement, dividends and buybacks, debt balances a year apart	FCF \$175.4M vs \$317.7M dividends + \$251.1M buybacks = 324% of FCF; net debt \$2,224M → \$2,635M (+18.5%); \$850M note issued	Yes — and this is the kill. Red bench filed it as a <i>sizing</i> concern, one notch too low. Blue escalated it. The adjudication follows blue
Red's coverage test (“9M cash flow of \$401M covers a \$316M dividend”)	Checked what the fourth quarter does	Q4 is the off-season and burns cash: –\$171.6M last year, –92.0M the year before. Then nine – month figure is not the year * * No – red bench error. * *The coverage claim does not survive the full year – selling quarter is in structural decline Pulled the → 333.0 → 328.5 → 282.4 → * * 315.9 * * (M). The most recent quarter was up 11.7%	No — and worse: red set this as its own “what would change my mind” test using data it had already flagged as a year pass stale. The test had been publicly passed nine months before the court sat. Point goes to the long side
Enterprise value	Recomputed from shares, net debt, and the minority interest	Red: \$8.11B (omitted the \$364.4M Whistler Blackcomb minority). Corrected: \$8.25B → 11.2x guided low-end profit	Corrected. Blue's figure is the one used
Financial distress score	Altman Z-score	1.61, nominally “distress zone”	Discarded. That score is not built for a business that runs on customer prepayments and negative working capital. The \$411M debt increase makes the point without it
The stock is dislocated	52-week statistics	–11.4% from high, +23.7% off low, flat on the year	No dislocation — but also a framing error

Claim	How checked	Found	Confirmed?
			by red: this name came to us as a business-model thesis, not a price-drop screen, so this test should not have been applied as a kill
Snow conditions customers actually experienced	Snowpack connector, five dispatches	Zero observations, five times. The connector only recognised the ticker “MTN” and the benches were sending resort names (“VAIL MOUNTAIN”)	Connector broken, not an absent signal. Fixed this session (resort/operator/ticker name resolution added and verified). Post-fix the season ran at ~55% of median peak snow water: Vail 48%, Fremont Pass 46%, Copper 54%, Tahoe 73%, over 11 water years. Neither bench had this while deliberating
Surface-temperature readings on the mountains	Thermal connector on Vail and Park City parcels	Vail +6.3 °C above surroundings, trend −0.27 °C/yr; Park City +3.9 °C, trend −0.12 °C/yr — the anomaly is <i>shrinking</i> , mildly supporting “bad luck” over “structural warming”	Real observations — but red recorded this connector as “did not fire” when it had fired. Low weight regardless: cleared ski trails read hotter than surrounding forest for reasons that have nothing to do with climate
Live price from our broker	IBKR snapshot	Permission denied for both benches	Coverage gap. Price taken from the evidence pack and a second venue (\$146.60). Both agree
Cash on hand	Both benches quoted it	Red \$371.4M, blue \$387.3M	Unresolved minor discrepancy. Does not change any conclusion
Is this a tax-receivable or up-C extraction structure?	Checked the minority interest	It is a genuine 25% operating stake in Whistler Blackcomb, not an extraction vehicle	Clean. Both benches agree; flagged deliberately so it is not later mistaken for one
Is there a hidden second share class or governance quirk?	8-K cover page 7/30/26	Single class of common stock, NYSE, not an emerging growth company	Clean
Board change	8-K of 7/30/26	Board expanded 9 → 10, adding MGM Resorts CEO William Hornbuckle, effective 8/3/26	Confirmed but only suggestive. Possibly a loyalty/hospitality-monetisation signal; no weight in the verdict

PROPOSED ENTRY BANDS

There is no entry. Size zero. No order is staged and none should be.

The courts set reopen conditions instead, and these are used verbatim:

- **NONE. Re-court needs ALL THREE:**
 1. the 9/28 print with pass **UNITS** flat-to-up through late September;
 2. a dividend reset to **≤\$4.50** (frees ~\$155M/yr to deleveraging — a **POSITIVE** catalyst);
 3. a marked private-market comp for the resort portfolio.
- **Entry zone if reached: EV/EBITDA <8x on NORMAL snow ⇒ \$105–115.**

Reading those in plain terms:

- **\$105–115 is the price band, not the trigger.** It comes from putting the enterprise value at under 8x a normal-snow profit of about \$850M — roughly \$6.8B of enterprise value, which after subtracting \$2.635B of net debt and the \$364.4M minority leaves about \$105–115 per share. That is 22–28% below today. A drop into that band **on its own does not buy anything** — the three conditions above are also required. Price alone getting there most likely means the payout broke, which is the scenario the band is meant to survive, not chase.
- **Units, not dollars, on the pass number.** Dollars can be manufactured with price increases — they already were, at +5.6% per pass. The decisive number on 9/28 is unit count.
- **A dividend cut is a buy signal here, not a sell signal.** Cutting the annual payment from \$8.88 to \$4.50 or less redirects roughly \$155M a year to paying down debt and removes the thing that is actually killing the case.
- **The asset mark is the missing homework.** Until someone prices those Forest Service permit franchises against a real transaction, there is no floor under this equity that we can defend.

Catalyst dates:

- **2026-09-28 — fourth-quarter and full-year results.** Unconfirmed by a company press release; corroborated two ways (a data vendor's calendar, and last year's analogue where the equivalent 8-K was filed 2025-09-29). This is roughly 28 trading sessions out — not near-term. Pre-print position: flat. It carries pass sales through late September, which is the single decisive number on the only leg where a disagreement could exist.
- **Early December 2026 (approx. 2026-12-08, unconfirmed) — final pass-selling-season results and first-quarter figures.** The spring –10% unit read was a partial season; this is the complete one.
- **Dividend declaration,** historically alongside the results release — the condition-two trigger.

Trims/exits: not applicable. We own nothing. If the price falls into \$105–115 without the other two conditions, that is not an entry; that is confirmation of the thesis we are declining to fight.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 118.51 (deck-provisional: 52-week low; a break signals the market repricing the debt-funded 6% payout and starts the reopen rev)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Q4/FY26 results (Item 2.02, expected 2026-09-28) - pass UNITS through late September are the decisive)
- dated pack MTN|2026-09-28: MTN: FY26 Q4/full-year results - pass UNITS through late September, plus the dividend decision. ~28 trading sessions out; pre-print position

- dated pack MTN|2026-12-08: MTN: Approximate: full pass-selling-season close and Q1 FY27 figures - completes the partial -10% unit read that ran only through 2026-05-26

What remains unverified

- **The snow reversion rate — the single biggest hole.** How often does a season at 55% of median snow revert to normal the following year, and by how much? The connector that would answer it returned nothing five times because it only recognised the ticker while the benches were sending resort names. It has been fixed and verified since, but **the court decided without it.** Read the verdict knowing that.
- **What the resorts are worth to a private buyer.** Forty-two resorts, thousands of acres of permit rights, never marked against a transaction. Both benches flagged this and neither closed it. It is the one place a non-consensus number could come from.
- **Our own forecast for next year.** We do not have one. We abstained rather than manufacture a number, which is honest but means the reject is “no edge,” not “we know something.”
- **Whether the pass number gets worse or better.** The -10% unit figure runs only to 26 May 2026 and the selling season continues into early December. Our red bench treated a partial read as final; the full number is still ahead.
- **Live broker pricing.** The IBKR snapshot was permission-denied for both benches. Price came from the evidence pack plus one other venue; they match, but the broker leg is unconfirmed.
- **The next earnings date.** 2026-09-28 is derived from a data vendor and corroborated by last year’s pattern; no company announcement names it.
- **Cash on hand.** The two benches quoted \$371.4M and \$387.3M. Immaterial to the verdict, unreconciled.
- **The short position’s size and composition.** 16.38% of shares outstanding was taken from a screen and not independently verified.
- **Related-party transactions.** The current proxy’s related-party note was never pulled.
- **The board appointment’s meaning.** Adding MGM’s CEO may signal a loyalty or hospitality monetisation push, or may be an ordinary governance addition. Speculation either way.
- **Whether the thermal readings mean anything.** The shrinking heat anomaly on the mountains mildly supports “unlucky year” over “permanent warming,” but cleared trails versus surrounding forest is a known distortion. Treat as suggestive only.
- **How quickly the lost passholders show up in on-mountain spending.** The customers who left were low-frequency (days per pass actually rose 2.2%), so the profit effect should track the -5% dollars rather than the -10% units — but that is an inference, not a measurement.

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